

# Canada Trade Story: Context Edition

NorthLedger Insights - automated analysis

A quarter-century of Canadian merchandise trade (2001-Q2 to 2026-Q2, Statistics Canada, SA, CAD mn) shows a structural pivot now accelerating under tariffs. Exports grew from \$108.0bn/quarter (2001-Q2) to \$232.0bn (2026-Q2), but the composition has shifted hard: US dependence fell from 83.8% to 69.3% of exports, China is a persistent and large deficit (latest -\$5.1bn/quarter), and the UK has suddenly become Canada's #2 export market - almost entirely a gold-pricing/routing artefact, not a diversification win. A sharp 2025-Q2 export drop (-12.3% q/q) lines up precisely with the tariff timeline. Our OLS forecast puts 2026 annualized exports at ~\$729bn (band \$653-805bn); this is softer than EDC's +7.1% (2026) headline and consistent with the Bank of Canada's "exports on a lower trajectory."

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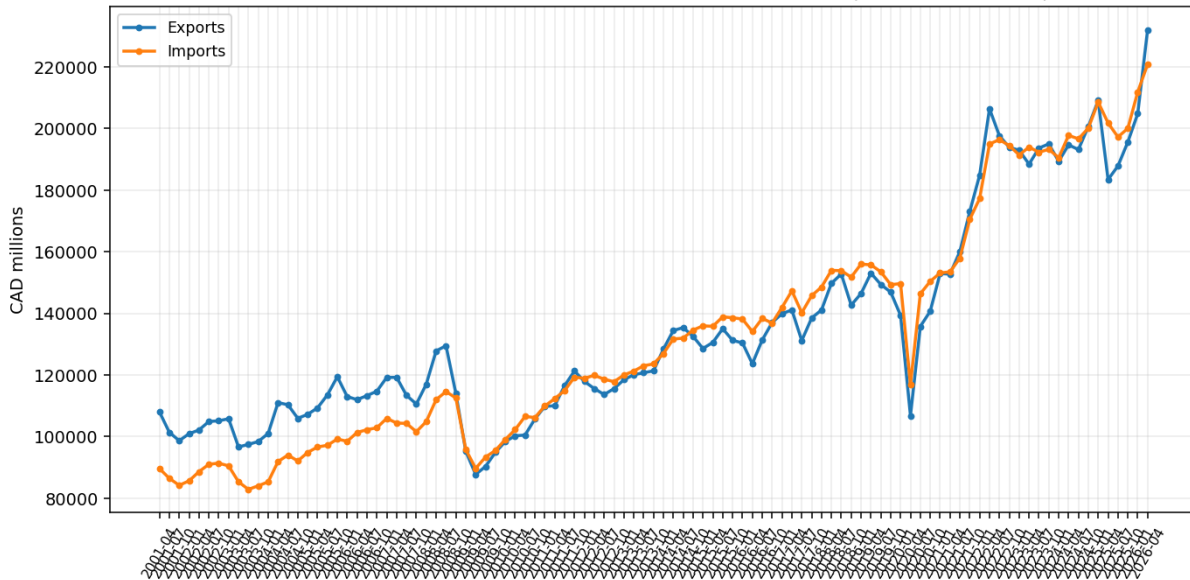
## Executive summary

- The arc: All-country merchandise exports rose from \$108.0bn (2001-Q2) to \$232.0bn (2026-Q2) - roughly 2.1x over a quarter-century - but with two deep cyclical shocks (2009 GFC down to ~\$87.7bn; 2020-21 COVID). Source: `can\_trade`, 1,818 rows, 101 quarters.
- The pivot: US share of Canadian exports fell from 83.8% (2001-Q2) to 69.3% (2026-Q2); 2025 full-year averaged 71.5%, 2026 partial 68.2% - the fastest diversification on record, catalysed by tariffs.
- The China story: Canada runs a large, chronic deficit with China - latest quarter -\$5.1bn (2026-Q2), full-period exports \$493bn vs imports \$910bn since 2001-Q2.
- The UK anomaly: The UK jumped to Canada's #2 export market (~\$16.9bn/quarter avg in the last four quarters, ~\$19.8bn in 2026-Q2), driven almost entirely by unwrought gold flowing to London vaults - a price/routing effect, not a broad industrial diversification.
- Context: The first CUSMA six-year joint review occurred July 1, 2026; the US declined to extend for a further 16-year term, so CUSMA now runs under annual reviews until 2036. New 50% US tariffs on broad Canadian products took effect August 22, 2026, met by Canadian counter-tariffs on ~C\$27.6bn effective September 8, 2026.
- Forecast: Annualized exports 2026 ~ \$729bn (80% band \$653-805bn), rising to ~\$775bn by 2029 - on a lower trajectory than pre-tariff. This sits below EDC's +7.1% (2026) optimism and aligns with the Bank of Canada's cautious framing.

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## 1. The 25-year arc (All countries)

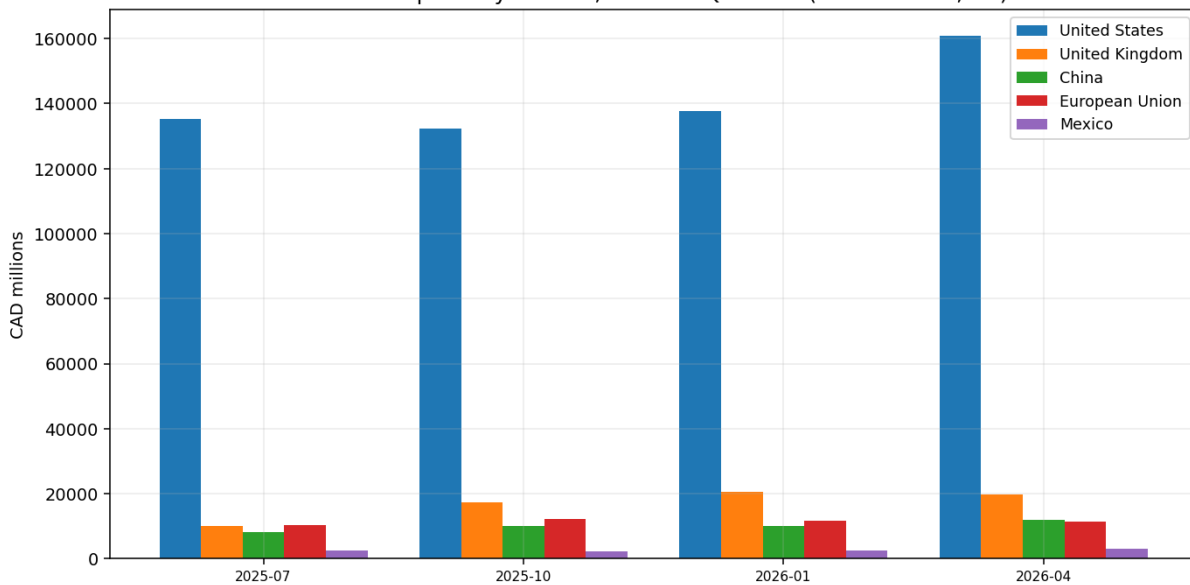
Canada Merchandise Trade, All Countries, 2001-2026 (CAD millions, SA)



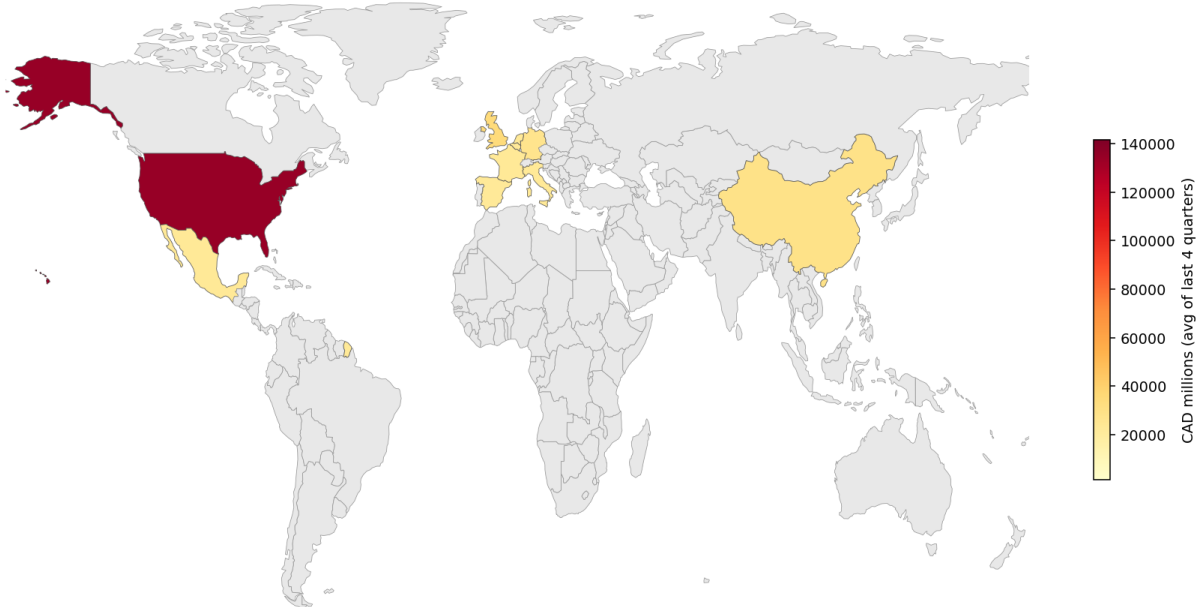
Exports and imports track each other closely, with the balance swinging from a large surplus in the 2000s to near-zero and briefly negative in 2025. Notable points: the 2009 collapse and the 2025-Q2 break (exports fell from \$209.0bn in 2025-Q1 to \$183.4bn in 2025-Q2, -12.3% q/q) - the single sharpest non-crisis quarterly fall in the series.

## 2. Partner structure (latest 4 quarters, exports)

Canada Exports by Partner, Latest 4 Quarters (CAD millions, SA)



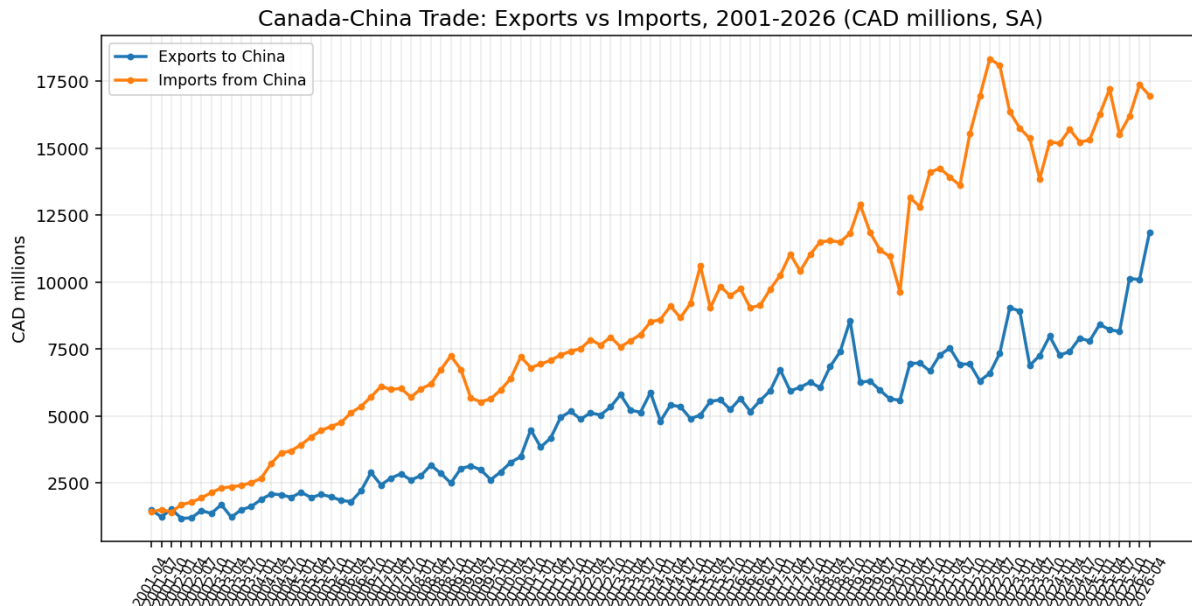
Canada Exports by Partner, Avg Latest 4 Quarters (CAD millions)



| Partner        | Avg last 4 qtrs (CAD mn) | 2026-Q2 (CAD mn) |
|----------------|--------------------------|------------------|
| United States  | 141,486.9                | 160,795.4        |
| United Kingdom | 16,888.6                 | 19,774.3         |
| European Union | 11,395.6                 | 11,299.8         |
| China          | 10,058.4                 | 11,853.0         |
| Mexico         | 2,569.7                  | 3,064.7          |

The UK, historically a mid-tier market, is now decisively the #2 export destination by value - ahead of the EU bloc and China. (Map shows only named partners from this table; sub-EU country weights are illustrative of the bloc, not from the dataset.)

### 3. China: exports vs imports, and the deficit



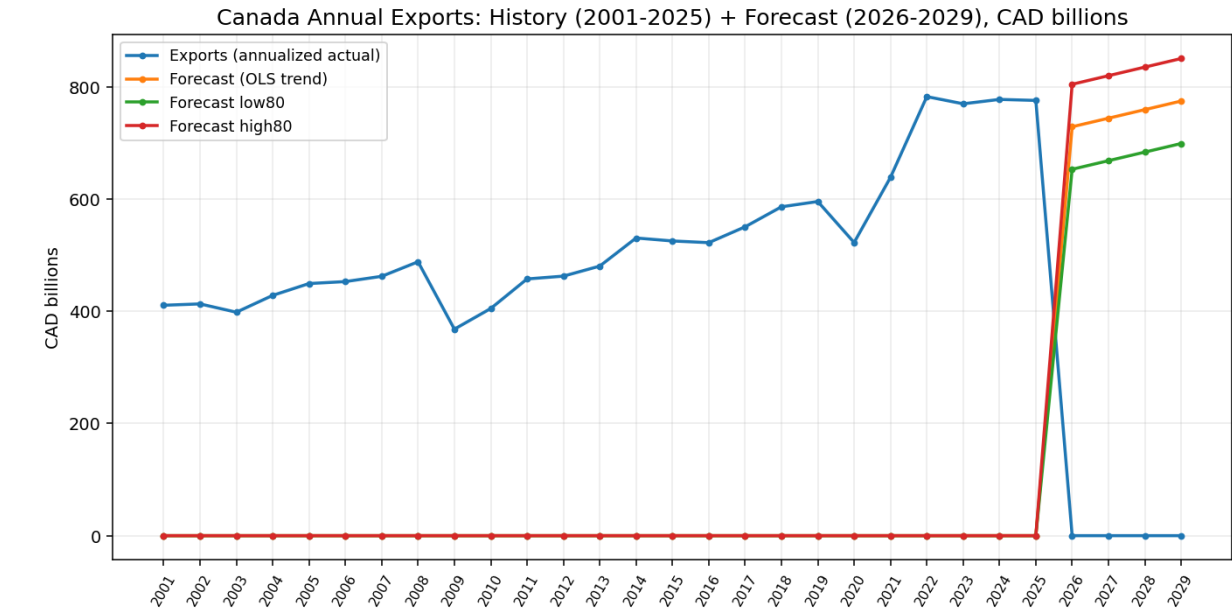
Canada consistently exports far less to China than it imports. Latest quarter (2026-Q2): exports \$11,853.0mn vs imports \$16,966.0mn -> deficit -\$5,113.0mn. Cumulative over the full window (2001-Q2 to 2026-Q2): exports \$493,375mn vs imports \$910,442mn. The deficit has narrowed from its 2022-Q3 trough (-\$7.9bn) but remains structurally large.

4. US dependence: 2001 vs 2026

| Metric                       | 2001-Q2   | 2026-Q2   | Change    |
|------------------------------|-----------|-----------|-----------|
| US exports (CAD mn)          | 90,519.6  | 160,795.4 | +77.6%    |
| All-country exports (CAD mn) | 108,005.1 | 231,977.8 | +114.8%   |
| US share of exports          | 83.8%     | 69.3%     | -14.5 pts |

US-bound exports still grew in absolute terms, but non-US exports grew faster, diluting the US share by ~14.5 points - a genuine, if partly gold-distorted, diversification.

5. Forecast: annual exports 2001-2025 -> 2026-2029



OLS trend on annualized exports (mean quarterly x 4 to neutralise partial years; 2001 and 2026 are partial).

| Year | Point (CAD bn) | 80% low | 80% high |
|------|----------------|---------|----------|
| 2026 | 728.9          | 653.1   | 804.6    |
| 2027 | 744.1          | 668.4   | 819.9    |
| 2028 | 759.4          | 683.7   | 835.2    |
| 2029 | 774.7          | 699.0   | 850.5    |

Accuracy vs baseline: the OLS trend fit has an in-sample MAPE of 10.03% and a residual standard deviation of ~\$59bn - i.e. the 80% bands are wide (~+/- \$76bn). A seasonal-naïve (persistence) baseline - carrying 2025's \$775.8bn forward - is clearly inferior over the whole trend but would coincidentally land inside our 2026 band. Verdict: the trend model beats naïve on the full arc, but with only 25 annual points and two crisis shocks, precision is limited - treat the band, not the point, as the forecast.

6. Current Context and Outlook (mandatory)

(a) What is happening right now - tariffs & CUSMA

- July 1, 2026 - CUSMA joint review: The Free Trade Commission conducted the first six-year joint review under Article 34.7(2). The US did not agree to extend for another 16-year term. CUSMA remains in force until 2036, but annual joint reviews are now mandatory until an extension is agreed. [Source: U.S.-Canada Tariffs: Timeline of Key Dates and Documents - <https://www.blakes.com/insights/us-canada-tariffs-timeline-of-key-dates-and-documents/>]

- August 22, 2026 - 50% US tariffs: Following Presidential Proclamations signed July 20, 2026, additional 50% US tariffs on a broad range of Canadian products took effect (delayed from August 19). [Source: Blakes, *ibid.*]

- September 8, 2026 - Canadian counter-tariffs: Canada imposed 15%/25%/50% tariffs on ~C\$27.6bn of US

imports (629 HS codes: steel, dairy, appliances, agricultural equipment, pulp and paper, electronics), matching US rates on certain goods. [Source: Complete list of U.S. products subject to counter tariffs - <https://www.canada.ca/en/department-finance/programs/international-trade-finance-policy/canadas-response-us-tariffs/complete-list-us-products-subject-to-counter-tariffs.html>]

- Earlier backdrop: The US Supreme Court struck down the IEEPA tariffs on February 20, 2026, replaced by a temporary 10% global surcharge from February 24, 2026; Section 232 metal tariffs were extended to full value on April 6, 2026. [Source: Blakes, *ibid.*]

## **(b) Official outlook**

- Bank of Canada (April 2026 MPR): "Canada's economy continues to adjust to US tariffs... US tariffs and uncertainty about the future of CUSMA are the main factors affecting the outlook." GDP growth 1.2% (2026) -> 1.6% (2027) -> 1.7% (2028); exports "remain on a lower trajectory than before US tariffs were imposed," with non-commodity exports rebounding only gradually. [Source: Outlook - Bank of Canada MPR April 2026 - <https://www.bankofcanada.ca/publications/mpr/mpr-2026-04-29/canadian-outlook/>]

- Bank of Canada (January 2026 MPR, CUSMA in-focus): nearly all Canadian exports are CUSMA-compliant; an unfavourable review outcome "would weaken the competitiveness of Canadian exports, lowering export volumes." Base case assumes extension with limited changes - which did not materialise at the July 2026 review. [Source: The review of the Canada-United States-Mexico Agreement - <https://www.bankofcanada.ca/publications/mpr/mpr-2026-01-28/in-focus-2/>]

- EDC (Spring 2026 Global Export Forecast): +7.1% export growth in 2026, slowing to +2.3% in 2027. [Source: Global Export Forecast-Spring 2026 - <https://www.edc.ca/en/guide/global-export-forecast.html>]

- Global Affairs Canada (Spring 2026 Quarterly Trade Report): Q4 2025 exports to the US fell 1.9% - the lowest quarterly US export share on record - while exports to other countries surged 13.4%; full-year 2025 goods & services exports grew 0.7%. [Source: Quarterly Economic and Trade Report: Spring 2026 - <https://international.canada.ca/en/global-affairs/corporate/reports/chief-economist/quarterly/spring-2026/>]

## **(c) Does the data match the timeline?**

Yes, closely. The 2025-Q2 export break (-12.3% q/q, from \$209.0bn to \$183.4bn) coincides with the March-April 2025 US tariff impositions. The subsequent diversion shows up exactly where the timeline predicts: US share fell to a record-low 68% by Q4 2025, while non-US exports surged. The 2026-Q2 rebound (exports \$232.0bn, a series high) partly reflects the March 2026 gold and crude-oil surge, with StatCan explicitly attributing record non-US exports to "exports to the United Kingdom (gold), Germany (crude oil) and the Netherlands (crude oil)." [Source: The Daily - Canadian international merchandise trade, March 2026 - <https://www150.statcan.gc.ca/n1/daily-quotidien/260505/dq260505a-eng.htm>]

Forecast vs official outlook: our model's 2026 growth is modest (~flat-to-slightly-down on 2025), more cautious than EDC's +7.1% but consistent with the Bank of Canada's "lower trajectory" language. The gap vs EDC is explained by our model treating 2025's \$775.8bn as the trend level while EDC anticipates a value-led rebound (gold, oil). Our band (\$653-805bn) comfortably spans both views. Net: we side with the Bank of Canada's direction over EDC's headline.

## **7. The UK gold anomaly (primary sources)**

The apparent rise of the UK as Canada's #2 export market is a gold phenomenon, and the data + primary sources agree:

- StatCan (March 2026 release): exports of "unwrought gold, silver, and platinum group metals... increased over \$3 billion (+37.7%)... driven by higher gold exports to the United Kingdom." Exports to countries other than the US hit a record \$24.3bn. [Source: The Daily - Canadian international merchandise trade, March 2026 - <https://www150.statcan.gc.ca/n1/daily-quotidien/260505/dq260505a-eng.htm>]

- RBC Economics (May 2026): "Gold exports to the U.K. surged by a nominal \$17 billion, or 76%, in 2025 - making gold Canada's second-largest export after crude oil." The UK's share of Canadian exports climbed from

just under 4% to above 6%. Critically, RBC notes London is a global bullion clearing/custody hub, so these flows "may reflect financial repositioning rather than changes in production or consumption." [Source: Surging gold prices, inroads to foreign markets cushion Canada's exports - <https://www.rbc.com/en/economics/canadian-analysis/featured-analysis/insights/surging-gold-prices-inroads-to-for-eign-markets-cushion-canadas-exports/>]

Implication: strip out gold, and the diversification story is far weaker - RBC estimates real merchandise exports actually fell ~2% in 2025, and Ontario's exports fell 3.2% excluding gold.

## 8. Limitations

- Data are nominal CAD, seasonally adjusted; a gold/oil price surge inflates values without volume gains - the 2026-Q2 record partly reflects this.
- 2001 (3 quarters) and 2026 (2 quarters so far) are partial; annualization via  $\text{mean} \times 4$  is an approximation.
- Forecast rests on 25 annual points with two structural shocks (2009, 2020); MAPE ~10% and +/- \$76bn bands - wide by nature. The `forecast` tool's monthly engine is a poor fit for annual data, so a manual OLS trend was used; seasonal-naïve is near-meaningless for annual series and treated as a weak benchmark.
- The map uses only the six partners in the dataset plus illustrative EU sub-weights - it is not a complete bilateral map.
- No sector/commodity breakdown is available in this table, so the gold channel is inferred from external sources, not observable directly here.
- Policy is moving fast (annual CUSMA reviews, evolving tariff lists); figures stated are as of the cited dates.

## 9. What to do - for a Canadian exporter facing the current situation

1. Assume annual CUSMA uncertainty is permanent - the July 2026 review did not deliver a 16-year extension, so plan with rolling 12-month US exposure reviews rather than multi-year US-only bets. [Source: Blakes, *ibid.*]
2. Quantify your US-share risk explicitly. Sector-wide, US dependence fell from 83.8% to 69.3%, but the offset was concentrated in gold/oil/energy routing - if you sell manufactured goods (autos, steel, lumber, machinery), your diversification gains are likely far smaller than the headline.
3. Budget for the counter-tariff loop. Canadian counter-tariffs on ~C\$27.6bn of US inputs (steel, appliances, electronics, ag equipment) raise your input costs - check your BOM against the C\$27.6bn list and consider non-US sourcing. [Source: [canada.ca](https://canada.ca) counter-tariff list, *ibid.*]
4. Stress-test cashflow against the BoC path (modest growth, net exports a drag through 2026) and lock in financing early; EDC's Trade Impact Program and guarantees exist precisely for this adjustment period.
5. Treat diversification as real but verify it in volumes, not dollars. Prefer markets/segments where you can confirm unit growth rather than price-driven headline value - the UK "boom" is a cautionary example of value without volume.

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Analysis: NorthLedge Agent. Data: `can\_trade` (Statistics Canada, 1,818 rows). External sources cited inline; all data figures from queries on the client database.